

# VCU324716 Graham, Michael vs. CA Farms, LLC

County: tulare

Division: Civil Law and Motion

Department: 1-Honorable David C. Mathias

Hearing date: 2026-07-16

Motion: TCWA Motion for Leave to Intervene

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Re: Graham, Michael vs. CA Farms, LLC

Case No.: VCU324716 (Consolidated – Lead) (Consolidated with Conterra Agricultural Capital, LLC vs. Prosperity Farms, LLC et al., PCU325122)

Date: July 16, 2026

Time: 8:30 A.M.

Dept. 1-Honorable David C. Mathias

Motion: TCWA Motion for Leave to Intervene

Tentative Ruling: To deny the motion.

The Tri-County Water Authority (TCWA) seeks leave to intervene in this action to assert claims arising from an unpaid balance of groundwater extraction fees.

TCWA's proposed complaint includes common counts on an open book account and a quantum meruit theory, and a cause of action for declaratory relief. The complaint identifies the following defendants: Michael and Cynthia Graham; Prosperity Farms, LLC (Prosperity); Ron Cook; CA Farms, LLC (CA Farms); Prosperity Ranch 20, LLC (Prosperity R20); and Corporate America Lending, Inc. (CAL).

TCWA is, according to the instant motion, owed an outstanding balance for groundwater extraction fees incurred on an account for Prosperity R20 for an approximately 400-acre pistachio ranch referred to by the parties as "Tulare 20."

## Background

The underlying action in this case is a receivership proceeding in which Focus Management Group (Focus) has been appointed receiver over certain real and personal property assets of Prosperity, including an approximately 1,800-acre pistachio ranch referred to by the parties as "Tulare 22."

The underlying complaint by Conterra Agricultural Capital, LLC arises in connection with an approximate \$32 million debt secured by, inter alia, Tulare 22.

The named defendants are Prosperity; Michael and Cynthia Graham; and nominally named defendants Compeer Financial, ACA; Compeer Financial, PCA; and Compeer Financial, FLCA, identified collectively in this litigation as “Compeer.”

About four months after the receivership proceedings commenced, the Grahams filed a 17-cause-of-action cross-complaint asserting various claims against, amongst others, Ron and Jennifer Cook; CAL; and CA Farms. Additionally identified as cross-complainants are Prosperity; Prosperity R20; and Prosperity Development, LLC.

The cross-complaint includes claims concerning Tulare 22, a host of other matters, and, as pertinent here, Tulare 20. Specifically pertaining to that ranch, cross-complainants allege, amongst many other things, that Ron Cook transferred title to Tulare 20 from Prosperity to Prosperity R20 without disclosing the transfer to the Grahams (despite the Grahams owning 50% of Prosperity); that Mr. Cook, acting through CAL, then recorded a deed of trust against the property in connection with a purported \$2.5 million loan, which “loan was pulled without the Grahams’ knowledge or consent”; and that the Grahams “subsequently discovered ... that Mr. Cook assigned the beneficial interest in the loan to [an entity identified as ‘SA9 Properties, LLC’].”

Prior to commencement of the cross-complainants’ action in this case, the Grahams filed a complaint for declaratory relief in TCSC Case No. VCU324716, naming, as defendants, Ron Cook, CA Farms, and Prosperity R20. The Grahams alleged that CA Farms and Mr. Cook were attempting to secure a loan or other financing against real property owned by Prosperity R20 without the Grahams’ knowledge. The Grahams sought (and still seek) “a declaration that any encumbrance on the Property [in Prosperity R20] without [the Grahams’] consent is invalid and void.” Notable here, the only real property identified as owned by Prosperity R20 by any party to this or any other relevant case is Tulare 20.

Incident to the close relationship of the claims in the declaratory relief action and the Grahams’ claims concerning Tulare 20 in their cross-complaint in this case, VCU324716 was recently consolidated with this case, with VCU324716 designated as the lead case, on unopposed motion by the Grahams.

TCWA’s motion to intervene

TCWA states it has a groundwater account involving Prosperity R20, for groundwater used at Tulare 20, with an outstanding balance of \$151,511.52 and that it is unclear when TCWA will be paid or by whom. TCWA asserts it filed a lien against properties held by Prosperity R20 (i.e., against Tulare 20).

TCWA asserts that “[a]s such, TCWA has an interest in the property of the Defendants and is entitled to intervene as a matter of right in the case at bar.” “Alternatively,” TCWA asserts, “TCWA should be permitted to intervene in this lawsuit because it also meets the standard of having ‘an interest in the matter in litigation, or in the success of either (or any) of the parties, or an interest against both.’ (CCP § 387 (d)(2)).”

The court briefly notes that TCWA references another account involving Prosperity, for groundwater used at Tulare 22, as well as, amongst other things, an associated lien against “properties held by Compeer.” By “properties held by Compeer,” TCWA is referring to Tulare 22, which—according to a receivership report by Focus recently filed in this case—is, or soon should be, actually held by Prosperity. The circumstances of that title matter are not pertinent here, but the court highlights TCWA’s reference to the Prosperity/Tulare 22 account for the purpose of making clear that that account is irrelevant to TCWA’s instant motion. That is because, by TCWA’s own admission, the Prosperity/Tulare 22 account has been “paid in full and the lien [on Tulare 22] is being released.”

Accordingly, TCWA’s motion for leave to intervene stands or falls based solely on the relationship of its claims relating to the Tulare 20/Prosperity R20 account and the subjects at issue in this now consolidated action, specifically as to the matters

raised in the cross-complaint in this case and the Grahams' declaratory relief action concerning Tulare 20 and Prosperity R20.

Opposition by CAL, CA Farms, and Ron and Jennifer Cook

TCWA's motion is opposed solely by Ron and Jennifer Cook, CAL, and CA Farms. They collectively assert the subject matter of this action (referencing both the underlying receivership action and the Grahams' cross-complaint) have "no relation to TCWA and its claim for alleged unpaid water fees" and that TCWA fails "to show how the disposition in this action will impair or impede its interest in collecting alleged unpaid water fees."

## ANALYSIS

Code of Civil Procedure section 387 permits a nonparty to seek leave to file a complaint in an action "[d]emanding anything adverse to both a plaintiff and a defendant" (and/or adverse to both a "cross-complainant" and "cross-defendant"). (Id., subds. (a)-(c).)

The nonparty is entitled, as a matter of right, to intervene if "[t]he person seeking intervention claims an interest relating to the property or transaction that is the subject of the action and that person is so situated that the disposition of the action may impair or impede that person's ability to protect that interest, unless that person's interest is adequately represented by one or more of the existing parties." (Id., subd (d)(1)(B).)

Alternatively, a nonparty may be permitted to intervene "if the person has an interest in the matter in litigation, or in the success of either of the parties, or an interest against both." (Id., subd. (d)(2).)

TCWA does not have a mandatory right to intervene

"In determining whether an unconditional right to intervene exists under section 387, subdivision (b), the threshold question is whether the person seeking intervention has 'an interest relating to the property [or] transaction which is the subject of the action.' [Citations.]" (Siena Court Homeowners Assn. v. Green Valley Corp. (2008) 164 Cal.App.4th 1416, 1423 [79 Cal.Rptr.3d 915].)

"In addition to demonstrating an interest in the property or transaction that is the subject of the action, a person seeking intervention must also show that he or she 'is so situated that the disposition of the action may as a practical matter impair or impede that person's ability to protect that interest.' [Citations.]" (Id., at p. 1424.)

Arguably, TCWA makes a showing that it has an interest relating to property that is amongst the subjects of the Grahams' cross-complaint, as well as their declaratory relief action. TCWA claims an interest relating to Tulare 20 and Prosperity R20 and the court notes that the Grahams' cross-complaint includes claims for judicial dissolution of Property R20 (which owns Tulare 20); declaratory relief concerning the entitlement of various parties to crop proceeds from the 2025 harvest at Tulare 20; for money had and received, seeking recovery of the 2025 Tulare 20 crop proceeds; and a prayer for a constructive trust over the 2025 Tulare 20 crop proceeds.

TCWA, however, fails to show that disposition of the consolidated action in its absence will impair or impede its ability to protect its interest in the past due Prosperity R20/Tulare 20 account. TCWA's interest in the payment of its outstanding balance for the Prosperity R20/Tulare 20 account arises from its authority under the Sustainable Groundwater Management Act (SGMA) to assess fees and penalties against landowners within its jurisdictional area. The obligations of the defendants identified in the proposed complaint to pay groundwater fees are not challenged in this consolidated action and are independent of the various issues asserted in the Grahams' cross-complaint and declaratory relief action. TCWA fails to show how a judgment in the Grahams' consolidated actions will affect TCWA's ability to protect its interest in payment of

groundwater fees it has assessed under SGMA. TCWA has an interest, as a creditor, in the consolidated actions of the Grahams, by virtue of its interest in recovery of the account balance from any judgment for damages, but that interest does not give it the right to intervene in the action. (See *Olson v. Hopkins* (1969) 269 Cal.App.2d 638, 642 [75 Cal.Rptr. 33].)

TCWA's point, on reply, that is not merely a "simple creditor," but, rather, a "a joint powers authority GSA created to implement and enforce SGMA," and that "[t]he fees at issue are not private contractual obligations," is immaterial. TCWA's status as "a joint powers authority GSA" does not confer any special entitlement to intervention.

TCWA further contends "resolution of the case at bar may, as a practical matter, determine how or whether TCWA is able to recover the fees owed, particularly where payment sources or priorities may be adjudicated in TCWA's absence." TCWA, though, fails to explain how resolution of any of the Grahams' several claims in the consolidated action will determine any of the matters indicated. Again, there is no challenge to the propriety of TCWA's imposition of fees, penalties or liens in this consolidated action. While it may be true that these issues might somehow indirectly be affected by the resolution of this matter, there is no direct relationship. "The right broadly granted by the code has, however, been strictly limited by the decisions defining "interest," a word that is of crucial significance and that has a definite legal meaning in intervention proceedings. The interest referred to must be in the matter in litigation and of such a direct or immediate character that the intervener will either gain or lose by the direct legal operation and effect of the judgment.' [Citation.]" (*Muller v. Robinson* (1959) 174 Cal.App.2d 511, 515 [345 P.2d 25].)

TCWA emphasizes that it "has already recorded liens against Tulare 20" and it argues that it "seeks adjudication of issues that arise directly from disputed ownership and control of the property." In its reply, TCWA cites discusses three cases that it presents as analogous to the circumstances here, but the cases are clearly distinguishable.

In *County of San Bernardino v. Harsh California Corp.* (1959) 52 Cal.2d 341 [340 P.2d 617], the California Supreme Court concluded intervention by the United States of America was appropriate in an action by the County of San Bernardino against a developer for unpaid property taxes. The federal government had determined the developer was entitled to a reduction of property taxes under federal law, but the County assessed the full amount of the property tax anyway. The County sought the full amount of property taxes in the suit against the developer, who asserted, conversely, entitlement to the federal property tax reduction. (*Id.*, at pp. 342-343.) The California Supreme Court concluded the United States had a "a vital interest in establishing the validity and correct delineation of the fiscal policy set forth by Congress"; that "a federal statute [was] the heart of the litigation, and its validity and operation [was] necessarily directly involved" and that intervention was, therefore, appropriate. (*Id.*, at pp. 344, 347).

In *Simpson Redwood Co. v. Cal.* (1987) 196 Cal.App.3d 1192, 1199 [242 Cal.Rptr. 447], the Court of Appeal concluded intervention by a non-profit that had donated land to the State of California for inclusion in the state parks system was appropriate in a litigation by a lumber company that sought to quiet title to that donated land. (*Id.*, at pp. 1196-1198.) The Court of Appeal found "ample evidence" in the record reflecting that the non-profit had a "direct, substantial interest in the case" vis-à-vis its interest in the donated land remaining in the state park system. (*Id.*, at p. 1200.)

In *Timberidge Enterprises, Inc. v. City of Santa Rosa* (1978) 86 Cal.App.3d 873 [150 Cal.Rptr. 606], the Court of Appeal concluded intervention by a school district was appropriate in litigation by a developer versus the City of Santa Rosa challenging the imposition of school district impact fees. (*Id.*, at pp. 877-878.) The Court of Appeal held that "[a]ll public agencies have an 'interest' which is 'direct,' in meeting their official responsibilities even though necessary funding may depend upon the will of some other public body such as the Legislature, or as here the City." (*Id.*, at p. 882.)

Distinguishable in this case, however, neither the validity of SGMA, nor the propriety of TCWA's assessment of fees and penalties or its imposition of liens thereunder, is directly involved in the instant litigation.

If TCWA has a claim based on SGMA as against Prosperity R20, or any other defendant identified in its proposed complaint, with respect to the alleged outstanding Prosperity R20/Tulare 20 account balance, it may bring a separate action for that claim, and nothing adjudicated in this consolidated action directly threatens the propriety of any such claim. Accordingly, TCWA's claim, as a creditor, even as a government agency creditor, does not supply grounds for mandatory intervention in

this consolidated action.

Discretionary intervention is not warranted

"Pursuant to section 387 the trial court has discretion to permit a nonparty to intervene where the following factors are met: (1) the proper procedures have been followed; (2) the nonparty has a direct and immediate interest in the action; (3) the intervention will not enlarge the issues in the litigation; and (4) the reasons for the intervention outweigh any opposition by the parties presently in the action. [Citation.]" (Reliance Ins. Co. v. Superior Court (2000) 84 Cal.App.4th 383, 386 [100 Cal.Rptr.2d 807].)

" 'The requirement of a direct and immediate interest means that the interest must be of such a direct and immediate nature that the moving party " 'will either gain or lose by the direct legal operation and effect of the judgment.' [Citation.]" [Citations.]" [Citation.]" (Siena Court Homeowners Assn., supra, 164 Cal.App.4th at p. 1428.)

TCWA does not have a direct and immediate interest in the consolidated action incident to the outstanding balance on the Prosperity R20/Tulare 20 groundwater fee account. TCWA will not gain or lose as a result of any judgment in the consolidated action because the judgment will not affect its entitlement to collect the claimed groundwater fees due. TCWA, in any event, has failed to identify how any such judgment might affect its interests.

What's more, TCWA's intervention, if permitted, would needlessly enlarge the issues in litigation to include matters concerning the person(s) or entity(ies) obligated to pay the outstanding debt to TCWA, and the enforceability of those obligations, which matters have nothing to do with the claims in the consolidated action.

TCWA argues in reply that intervention would not enlarge the issues in the consolidated litigation and that denying intervention "would likely result in parallel litigation involving many of the same parties, the same property, and many of the same factual issues." While it is likely true that such "parallel litigation" would involve "many of the same parties," property that is at issue in some of the claims in the consolidated action, and that facts that arise in this consolidated action may resurface as relevant to other issues in "parallel litigation" by TCWA, none of the litigated issues as between the Cook parties and the Grahams and the entities formed between them involve the issues that would be appended to this action by TCWA's proposed complaint in intervention. It is, accordingly, entirely appropriate that any such litigation by TCWA take place in a separate case.

Conclusion

Based on the foregoing, TCWA's motion for leave to intervene is denied.

If no one requests oral argument, under Code of Civil Procedure section 1019.5(a) and California Rules of Court, rule 3.1312(a), no further written order is necessary. The minute order adopting this tentative ruling will become the order of the court and service by the clerk will constitute notice of the order. Court reporters are usually not available for law and motion matters in the civil division. The parties and counsel must provide their own reporter if they want a transcript of the proceedings.